Massey University Investment Club

Weekly Market Report

(Week ending 10th April, 2026)

Editors

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About MUIC

Massey University Investment Club (MUIC) is a student-led organization on the Albany campus at Massey University. Through weekly discussions, market outlooks, and industry engagement, MUIC aims to bridge academic learning with real-world finance.

Editorial Note

This weekly report is prepared for educational purposes only by the MUIC research team to provide a student-driven perspective on New Zealand's macroeconomic and financial developments. The objective is to enhance analytical thinking and encourage discussion within the club.

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Thu Ngo	Secretary
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This week we cover three topics. We start with our **New Zealand Weekly Market Outlook,** a week that began with ceasefire relief but ended with the RBNZ warning that inflation is still heading to 4.2% and rate hikes are coming. We then look at **why oil is breaking the bond market's safe haven status**, and what that means for portfolios when bonds and equities fall together. We close with a look at **Novartis's $2 billion bet on next-generation allergy treatment** and what it tells us about how big pharma thinks about early-stage biotech. As always, feel free to reach out if anything sparks a question.

(1) New Zealand Economic Data Wrap

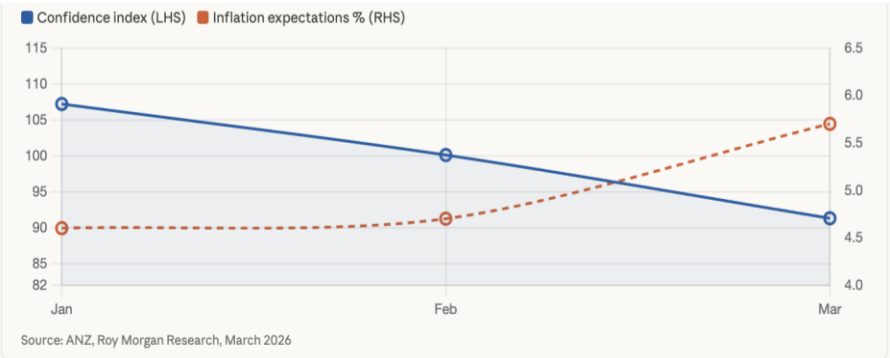
A US–Iran ceasefire lifts markets and eases oil prices, but the RBNZ warns inflation will still peak at 4.2% in June, and rate hikes are no longer hypothetical.

OCR	CPI FORECAST Q2	NZX 50	CONSUMER CONF.
2.25%	4.2%	13,274	91.3
Held 8 Apr	▲ from 3.1%	+2.7% (2 days)	▼ from 107.2

Consumer Confidence

The ANZ–Roy Morgan index collapsed from 107.2 in January to 91.3 in March, with the final survey week dropping as low as 79.2. Surging petrol prices are the main driver, and 2-year inflation expectations jumped a full percentage point to 5.7%, the biggest concern for the RBNZ.

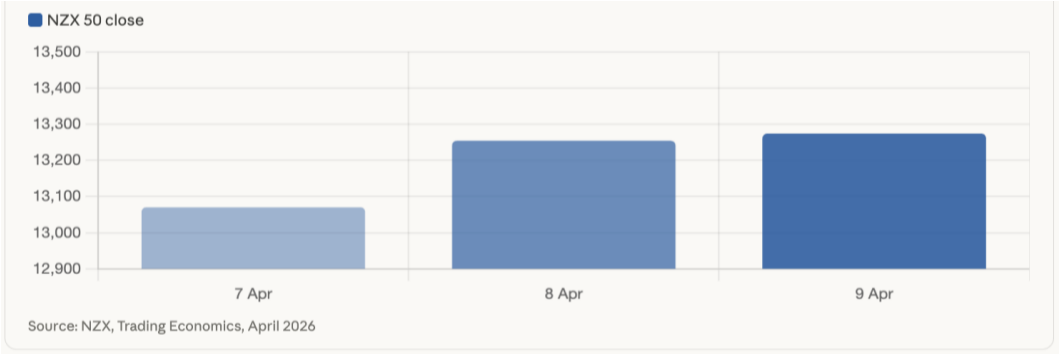
Figure 1: Consumer Confidence vs 2-YR Inflation Expectation



Equities

The NZX50 gained 2.7% across two sessions this week, closing at 13,274 - its highest since 18 March. Trump's two-week ceasefire with Iran (including Strait of Hormuz reopening) sent oil down ~$15/barrel. The RBNZ hold added to relief. Freight and financials led gains; Freightways +4.3%, ANZ Group +3.3%.

Figure 2: NZX 50 Closing Level, April 2026



Monetary Policy (OCR)

The RBNZ held at 2.25% on 8 April, but Governor Breman confirmed the MPC discussed hiking at this meeting. No strong advocates for now, but Westpac has already pulled its first hike forecast forward to September 2026. The next full Monetary Policy Statement on 27 May will be the most important RBNZ event in years.

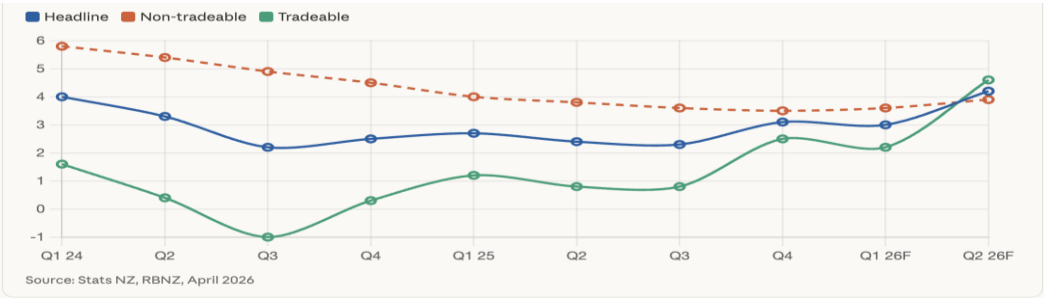
Figure 3: OCR Paths; RBNZ Baseline vs ANZ vs Market Pricing



Inflation

CPI was 3.1% in Q4 2025, already above the 1–3% band. The RBNZ now forecasts 3.0% in Q1 and 4.2% in Q2 2026, driven by fuel flowing into transport, food, and airfares. The government introduced a $50/week cost-of-living payment for lower-income households, funded within Budget 2026. Any extra fiscal spending risks making the RBNZ's job harder.

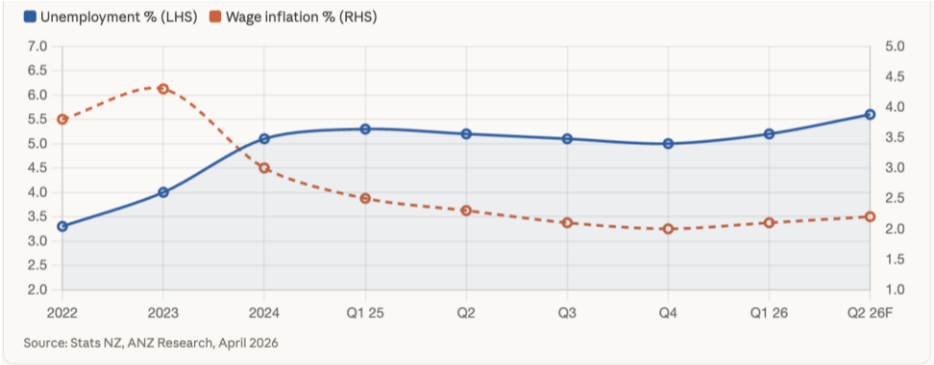
Figure 4: CPI by Component, Annual %, with Q1-Q2 2026 Forecasts



Labour Market

ANZ revised its unemployment peak up to 5.6% by mid-2026. Employment growth is a weak 0.2% in Q1, 0.1% in Q2. Real wages are expected to turn negative - workers getting pay rises will still lose purchasing power once fuel inflation is accounted for.

Figure 5: Unemployment Rate vs Wage Inflation, with 2026 Forecasts



The next two weeks will determine everything

The two-week ceasefire window is the single biggest variable hanging over every New Zealand economic indicator. If it holds and Strait of Hormuz shipping normalises, the RBNZ's 4.2% inflation forecast would likely be too high, and the case for rate hikes would weaken. If it collapses, the MPC has already signalled it will act decisively. Markets currently price a 25bp hike by September.

Beyond geopolitics, watch for: the May 27 RBNZ Monetary Policy Statement (first full updated forecasts since February); any signs of second-round inflation in April wage data; and whether the government stays within its Budget 2026 fiscal envelope. A ceasefire that holds is the best-case scenario for New Zealand households - the $50/week government transfer helps at the margins, but cheaper fuel is the real relief valve.

(2) When oil rises, bonds stop being a safe haven

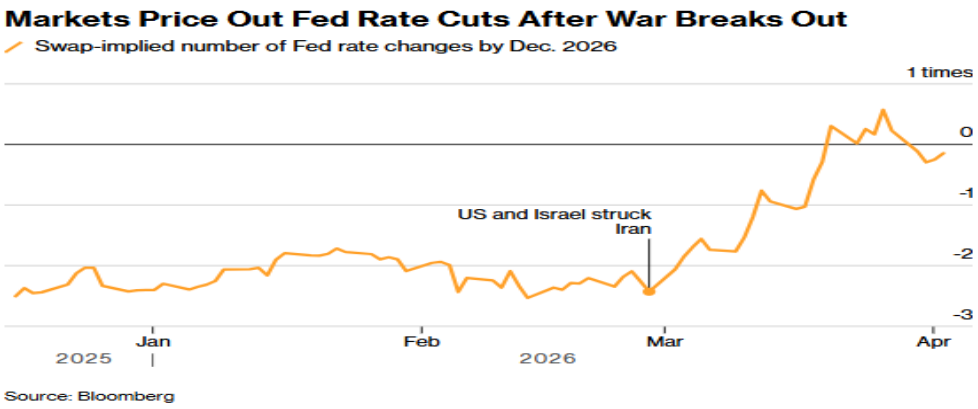
The latest move in U.S. Treasuries is a reminder that bonds do not always rally when risk rises. After Donald Trump adopted a more aggressive tone on Iran, oil surged back above $110 a barrel, the dollar strengthened, and bond markets came under renewed pressure as investors reassessed the inflation path rather than simply reaching for duration as a safe haven. Reuters reported that global markets initially recoiled, with stocks and bond prices falling together after Trump's threats, while crude jumped sharply on fears that any prolonged disruption around the Strait of Hormuz would keep energy prices elevated.

What matters most is the macro transmission channel. Higher oil prices are not just an energy story. They feed directly into inflation expectations, transportation costs, and household fuel bills, while also complicating the growth outlook. Reuters noted that the U.S.-Iran war has lifted global oil prices by more than 50%, pushed the national average gasoline price above $4 a gallon, and driven the ISM services prices paid index to its highest level since October 2022. That combination is exactly what makes Treasuries vulnerable: the market starts to fear that the Federal Reserve will have less room to ease, even as growth momentum becomes less secure.

This is why rate cut expectations have been repriced so aggressively. Reuters reported that the war has largely wiped out trader bets on a Fed cut this year, while short-term Treasury yields have borne the brunt of the selling as hopes for easier policy faded. Longer dated yields have also climbed, with the 10-year Treasury briefly nearing 4.5% in late March, showing that the market is not only pricing a longer pause, but also a higher inflation risk premium and rising concern about the broader fiscal backdrop if the conflict drags on.

From a portfolio management perspective, this is a difficult environment because the usual playbook becomes less reliable. If the shock were purely about weaker growth, Treasuries would likely offer cleaner protection. But when the shock is oil-driven and geopolitically charged, bonds can sell off at the same time equities reprice lower. The key implication is that markets are no longer trading on a simple soft-landing framework. They are trading on whether inflation from energy and logistics starts to dominate the policy outlook again. In that world, the real question is not whether the Fed wants to cut, but whether it can cut without losing control of the inflation narrative.

Figure 6: Markets Price Out Fed Rate Cuts After War Breaks Out



(3) Novartis buys into the next wave of allergy treatment: a $2 billion bet on IgE innovation



Novartis' agreement to acquire Excellergy for up to $2 billion is a good example of how biotech M&A is increasingly being used to buy mechanism, not just revenue. The transaction brings Excellergy's lead asset, Exl-111, into Novartis' immunology pipeline and gives the company a sharper position in IgE-driven diseases such as food allergy, asthma, and chronic urticaria. The deal is structured around upfront and milestone payments and is expected to close in the second half of 2026, subject to customary conditions and regulatory approvals.

What makes the deal strategically interesting is the quality of the biological fit. Novartis already understands the IgE pathway well through Xolair, so this is not a move into unfamiliar science. It is a move deeper into a validated therapeutic area where the company already has experience, commercial logic, and development infrastructure. Exl-111 is designed as a next-generation anti-IgE program with the potential to deliver faster and deeper suppression of IgE signalling than conventional approaches, which is exactly the type of profile large pharma is willing to pay for when it sees a chance to extend leadership in an established category.

From a portfolio management perspective, the timing also matters. Xolair has been an important anchor in allergy treatment, but biosimilar pressure in Europe and the broader need for pipeline renewal make it rational for Novartis to secure a potential successor early rather than wait for later-stage scarcity pricing. In that sense, this is not just a pipeline expansion deal. It is also a defensive strategic move to protect long-term relevance in allergy and immunology.

At the same time, the deal reflects the risk appetite that still exists for differentiated early-stage biotech assets. Exl-111 is still in Phase 1 development, which means Novartis is paying for mechanism quality, early pharmacokinetic signals, and platform potential rather than mature clinical certainty. That usually tells us two things. First, the buyer sees enough scientific differentiation to move before competition emerges. Second, the market for promising immunology assets remains active when the biology is compelling, and the strategic fit is clean.

The broader takeaway is that this deal is less about headline value and more about therapeutic positioning. Large pharma is not only chasing late-stage certainty. It is selectively buying earlier assets where the mechanism, timing, and internal capability line up. Novartis is effectively saying that the next wave of value in allergy treatment may come from improving how deeply and how quickly the IgE pathway can be controlled, and it is willing to pay now to secure a seat in that next chapter.